

August 19, 2026

Editors
Journal of Public Economics

Dear Editors,

I am submitting “Informal Regulation and Housing Supply: Evidence from Chicago’s Aldermanic Privilege” for consideration under the Short Paper track at the *Journal of Public Economics*.

The paper studies whether informal political discretion affects housing supply even when formal land-use rules are shared citywide. Chicago’s aldermanic privilege provides a setting in which each of the city’s 50 council members exercises substantial informal control over development in a single ward. I construct alderman-level stringency scores from permit processing times and combine two research designs. An event study uses the 2015 ward redistricting to compare permit activity within census blocks assigned to different aldermen. A boundary-discontinuity design compares completed construction and housing costs immediately across ward boundaries.

Assignment to a more stringent alderman lowers high-discretion permitting activity by 12 percent, with no comparable change in low-discretion permits. Multifamily projects built on the more-stringent side of a ward boundary have 14 percent lower floor area ratios and 18 percent fewer dwelling units per acre. Home prices are 4.6 percent higher on the more-stringent side, while rents are 1.7 percent higher but imprecisely estimated.

The results show how individual politicians can create different regulatory environments within one municipal government and affect both permitting and completed housing supply. They speak to work in public economics on local political control, regulatory design, and housing supply.

The manuscript is designed as a self-contained short paper. It contains fewer than 6,000 words and five exhibits; supporting details on data construction and robustness are provided in an online appendix.

The manuscript is original, has not been published, and is not under consideration elsewhere.

Thank you for your consideration.

Sincerely,

Jacob Herbstman
Harris School of Public Policy
University of Chicago
jherbstman@uchicago.edu